

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester I Examination, 2013-14

Paper No. BCF-113: Business Economics

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.** Define Business Economics and explain its nature and scope. [14]**OR**

How is business economics related to other branches of knowledge? Clarify. Explain the methodology of business economics. [14]

Question 2. “Law of Demand is qualitative not quantitative.” Comment and discuss the reasons for exceptional demand curve. [14]**OR**

What is Utility? Explain its features and methods of measurement. [14]

Question 3. Explain clearly the equilibrium of a consumer with the help of utility analysis. What are its assumptions and limitations? [14]**OR**

State the law of diminishing marginal rate of substitution. What are its exceptions? [14]

Question 4. What do you mean by short-run costs and long-run costs? What is the practical usefulness of short-run and long-run costs? [14]**OR**

“The operation of the Law of Diminishing Returns is due to the scarcity of the factors of production.” Discuss. [14]

Question 5. What is perfect competition? How is price determined under perfect competition? [14]**OR**

Explain and illustrate the following costs concepts: [14]

- (a) Marginal cost
- (b) Incremental cost
- (c) Opportunity cost
- (d) Implicit cost

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